

INDIA GROWTH OUTLOOK: DRIVERS, RISKS AND SCENARIOS

EXECUTIVE SUMMARY

India remains one of the fastest-growing major economies supported by strong domestic demand, infrastructure expansion, digital transformation, and policy reforms. The report analyses India's economic growth outlook using macroeconomic indicators including GDP growth, inflation, fiscal position, external sector performance, employment trends, and investment activity.

The study identifies infrastructure spending, manufacturing incentives, digital economy expansion, financial inclusion, and services sector growth as major drivers supporting India's medium-term economic outlook. Government initiatives such as Production Linked Incentive (PLI) schemes, capital expenditure expansion, and digital public infrastructure continue to strengthen investment and economic activity.

At the same time, the report highlights important challenges including inflation volatility, global economic slowdown, fiscal pressures, employment generation concerns, and geopolitical uncertainty. Sector-wise analysis indicates positive outlook for banking, infrastructure, manufacturing, and services sectors, while agriculture and rural demand continue to face structural challenges.

The report further examines policy measures undertaken by the Government of India and the Reserve Bank of India to maintain macroeconomic stability and support growth. Future outlook analysis suggests that India's growth prospects remain favourable under stable domestic and global conditions, although external risks and structural challenges require continued policy attention.

Overall, the report concludes that sustained reforms, infrastructure investment, employment generation, and macroeconomic stability will remain critical for supporting India's long-term economic growth and resilience.

1.0 INTRODUCTION

India has emerged as one of the world's fastest-growing major economies, supported by strong domestic consumption, infrastructure expansion, digital transformation, and policy reforms. Over the past few years, India has stayed strong even the world faced problems like slow global economy, and wars/conflicts between countries, rising prices. According to the IMF, India's real GDP growth remained strong and is expected to continue at a strong pace in the medium term.

Understanding India's growth outlook is important for policymakers, businesses, investors, and financial institutions because economic growth directly affects employment, investment, industrial production, and living standards. At the same time, external risks such as global slowdown, inflation volatility, and geopolitical tensions continue to create uncertainty in future growth projections.

Objectives of the Report:

To analyse India's current economic growth outlook.

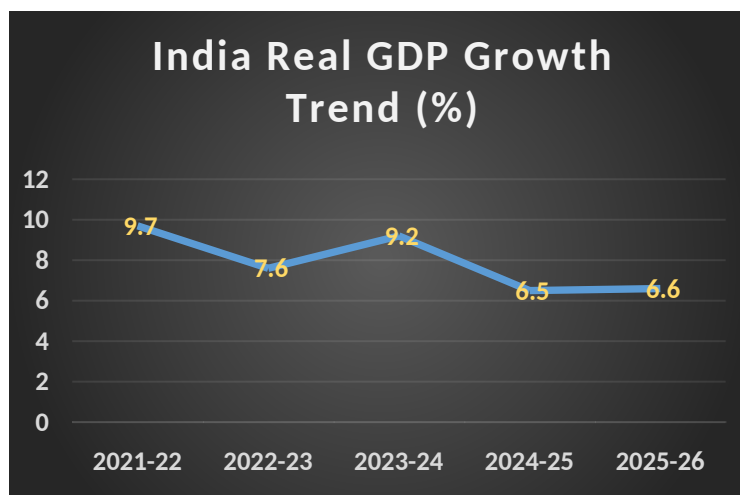
To identify major growth drivers supporting the economy.

To examine key risks and policy challenges affecting future growth.

To evaluate possible economic scenarios for India in the coming years.

Scope of the Study:

This report focuses on India's macroeconomic performance using indicators such as GDP growth, inflation, fiscal position, external sector performance, infrastructure development, employment trends, and policy measures. The analysis is based on secondary data collected from RBI, IMF, World Bank, and Economic Survey reports.



India Growth Drivers

Consumption

Infrastructure

Digital

Manufacturing

Services Exports

2.0 METHODOLOGY

This report is based on secondary research methodology using publicly available macroeconomic and financial data. Information has been collected from official reports and publications released by the Reserve Bank of India (RBI), International Monetary Fund (IMF), World Bank, and Government of India sources. The study uses trend analysis, comparative analysis, and sector-wise assessment to evaluate India's economic growth outlook, drivers, risks, and future scenarios.

Data Sources

Source	Purpose
RBI Annual Report 2024-25	Monetary policy, inflation, banking, external sector
IMF Article IV Consultation 2025	GDP forecasts, fiscal outlook, macroeconomic risks
World Bank India Reports	Development outlook, infrastructure, employment
Economic Survey 2025-26	Fiscal trends, growth drivers, sector performance

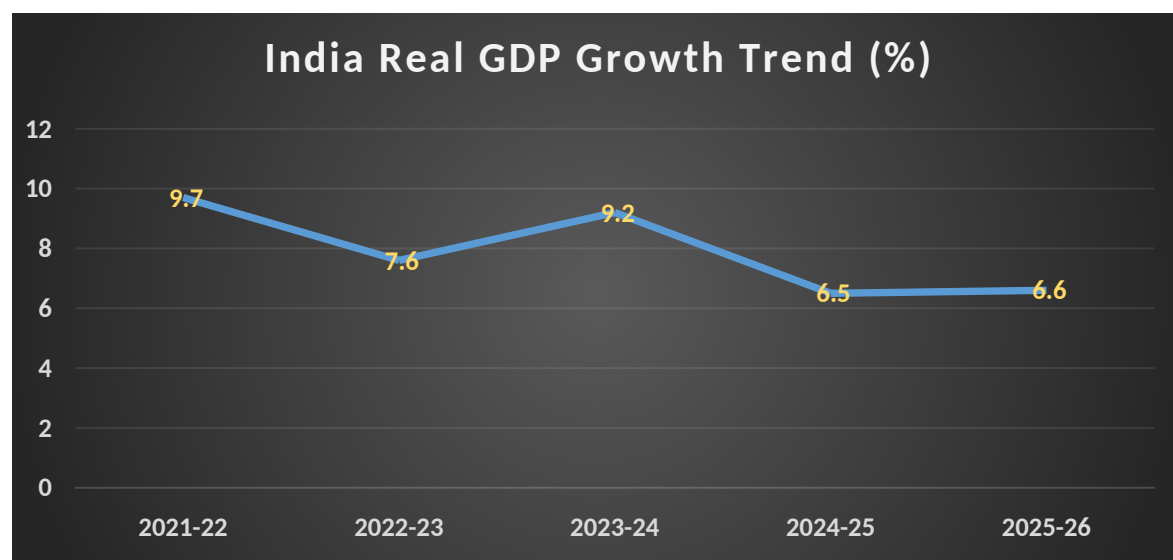
Assumptions:

- * Global crude oil prices remain relatively stable.
- * No major global financial crisis occurs during the forecast period.
- * Inflation remains within manageable range.
- * Government infrastructure spending continues.
- * Global trade conditions gradually stabilize.

Limitations:

- * Report is based on secondary data sources.
- * Future projections may change due to global uncertainties.
- * Some economic indicators are subject to revisions.

3.0 RECENT TRENDS & DATA



*Source: IMF India Article IV Consultation 2025

India has maintained strong economic growth compared to major global economies with GDP growth 9.7% in FY2021-22. Growth slowed slightly to 7.6% in FY2022-23 but increased again to 9.2% in FY2023-24 due to higher spending and investment. In the coming years, growth was remained stable at around 6.5% in 2024-25 and 6.6% in 2025-26, showing that the Indian economy continues to perform steadily despite global challenges. IMF projections indicate continued resilience supported by domestic demand, investment activity, and policy support

3.1 INFLATION TRENDS

India's CPI inflation increased from 5.5% in FY2021-22 to 6.7% in FY2022-23 due to rising food and energy prices. Inflation gradually declined to 5.4% in FY2023-24 and further to 4.6% in FY2024-25 as price pressures eased and policy measures improved stability. It is expected to moderate further to around 2.8% in FY2025-26.

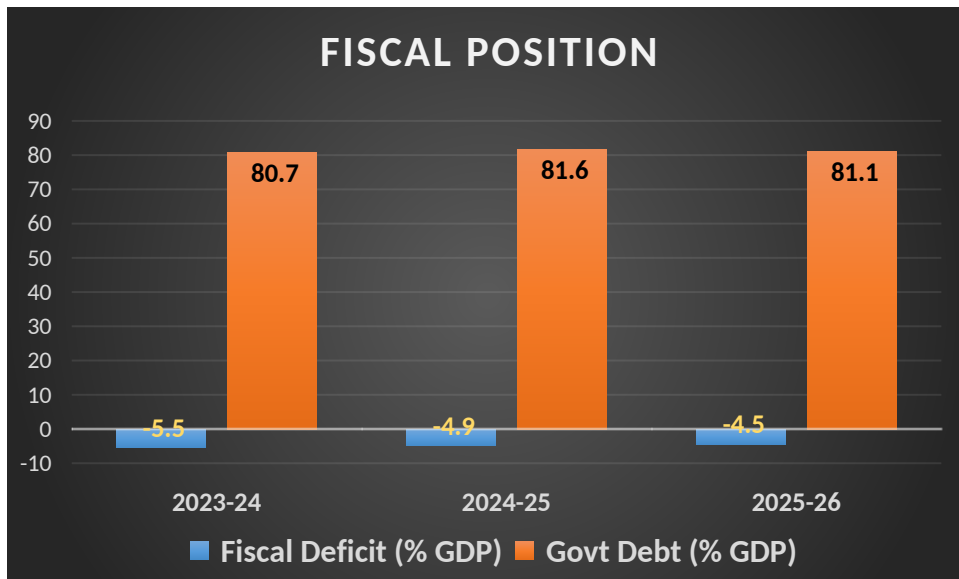
Financial Year	CPI Inflation (%)
FY2021-22	5.5%
FY2022-23	6.7%
FY2023-24	5.4%
FY2024-25	4.6%
FY2025-26	2.8%

*Source: IMF India Article IV Consultation 2025

Price rise slowed down in 2024-25. After a period when global shortages and supply problems made things very expensive, prices became more stable. This happened because food became cheaper and the government/bank took steps to control inflation.

3.2 FISCAL POSITION

Financial Year	Fiscal Deficit (% of GDP)	Government Debt (% of GDP)
2023-24	-5.5	80.7
2024-25	-4.9	81.6
2025-26	-4.5	81.1



*Source: IMF India Article IV Consultation 2025

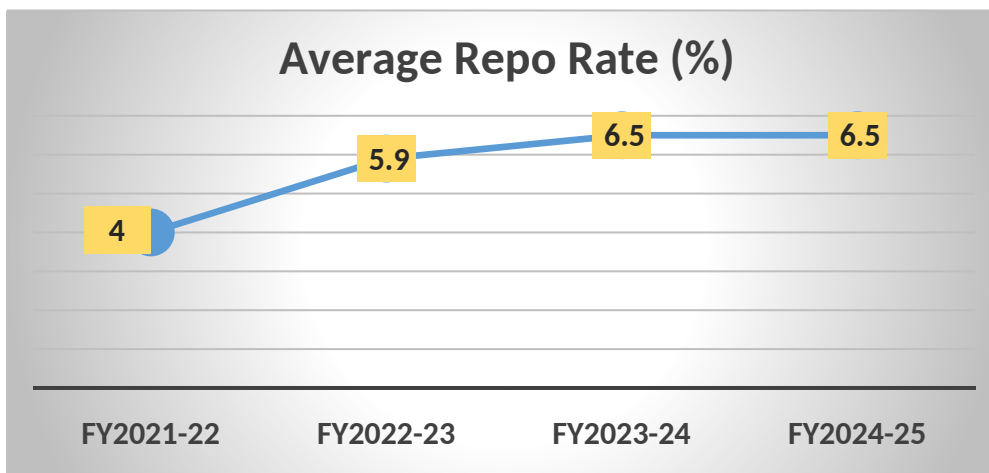
India’s government has improved its finances by reducing borrowing while still spending on infrastructure like roads and railways.

Keeping spending under control while investing for growth is now a key part of India’s economic strategy.

3.3 MONETARY & CREDIT CONDITIONS

RBI Repo Rate Trend

Financial Year	Average Repo Rate (%)
FY2021-22	4.0
FY2022-23	5.9
FY2023-24	6.5
FY2024-25	6.5



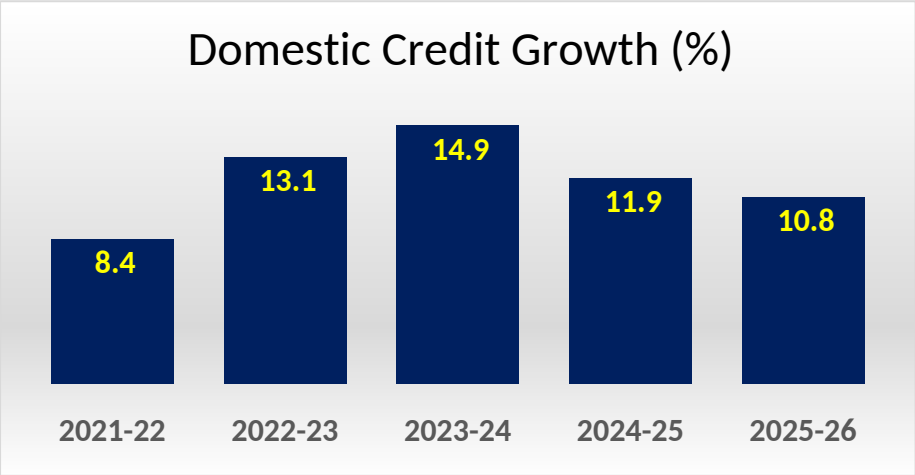
*SOURCE: RBI Annual Report 2024-25

RBI kept interest rates high during FY2024-25 to control inflation and maintain economic stability. The focus remained on balancing price control with continued economic growth.

Domestic Credit Growth Trend

Financial Year Domestic Credit Growth (%)

2021-22	8.4
2022-23	13.1
2023-24	14.9
2024-25	11.9
2025-26	10.8



*Source: IMF India Article IV Consultation 2025

Banking Sector Indicators

According to **IMF** and **World Bank India**, India’s banking sector remained stable during FY2024-25 with strong credit growth, improved profitability, and lower non-performing assets (NPAs). Banks also maintained adequate capital buffers, supporting financial stability. Improved banking conditions helped increase investment and consumption activity across the economy.

3.4 EXTERNAL SECTOR PERFORMANCE

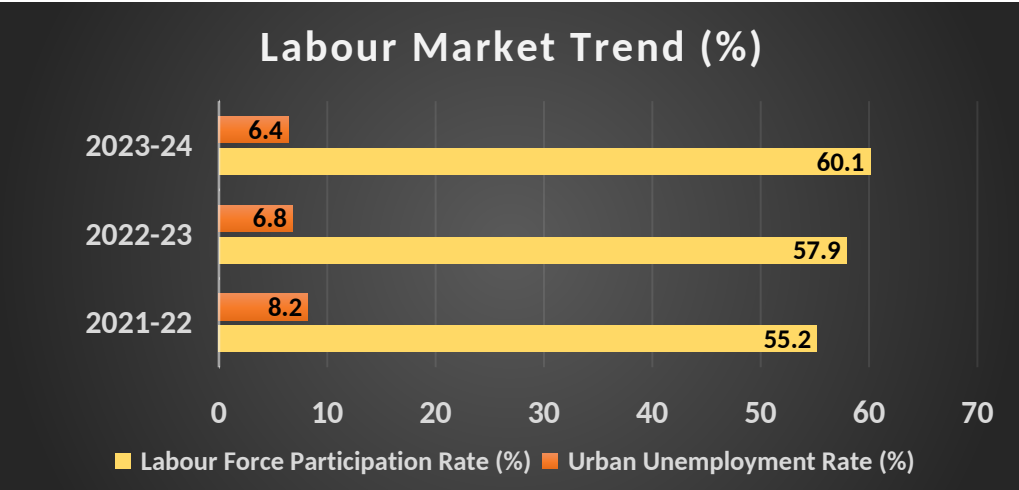
Indicator	2023-24	2024-25	2025-26
Current Account Deficit (% GDP)	-0.7	-0.6	-1.0
Forex Reserves (\$ bn)	646.4	668.3	709.6

*Source: IMF India Article IV Consultation 2025

3.5 EMPLOYMENT & CONSUMPTION

Labour Market Trends in India

Financial Year	Labour Force Participation Rate (%)	Urban Unemployment Rate (%)
2021-22	55.2	8.2
2022-23	57.9	6.8
2023-24	60.1	6.4

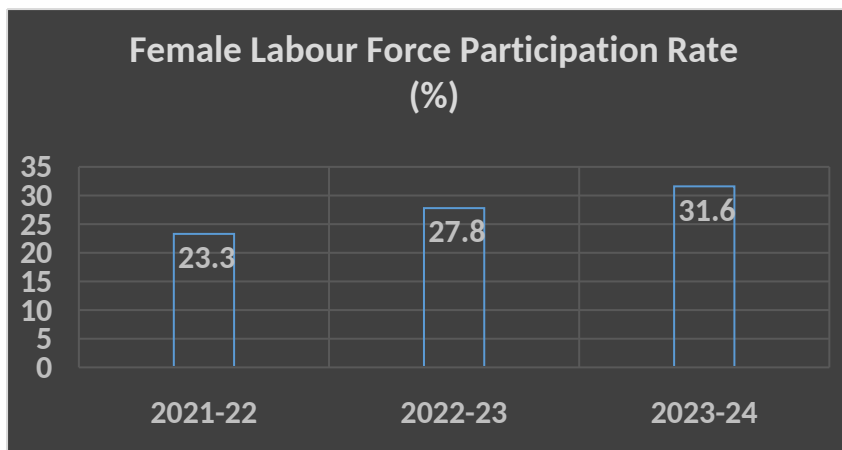


*Source: Periodic Labour Force Survey (PLFS), Government of India.

India’s labour market has shown gradual improvement in recent years with rising labour force participation and declining unemployment levels. Economic recovery, infrastructure expansion, and service sector activity contributed to improved employment conditions. However, quality employment generation remains an important challenge.

Female Workforce Participation in India

Financial Year	Female Labour Force Participation Rate (%)
2021-22	23.3
2022-23	27.8
2023-24	31.6



*Source: Periodic Labour Force Survey (PLFS)

Female labour force participation in India has improved significantly in recent years, supported by rising rural employment, self-employment opportunities, and increased workforce participation among women. Despite improvement, gender gaps in employment and income continue to remain structural concerns.

Employment Challenges

Skill Gap

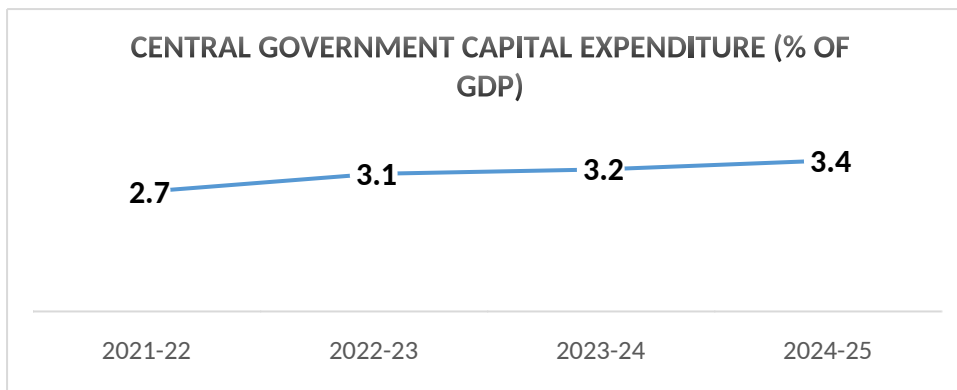
Informal Employment

Gender Gap

3.6 INFRASTRUCTURE & INVESTMENT TRENDS

Public Capital Expenditure Trend

Financial Year	Central Government Capital Expenditure (% of GDP)
2021-22	2.7
2022-23	3.1
2023-24	3.2
2024-25	3.4

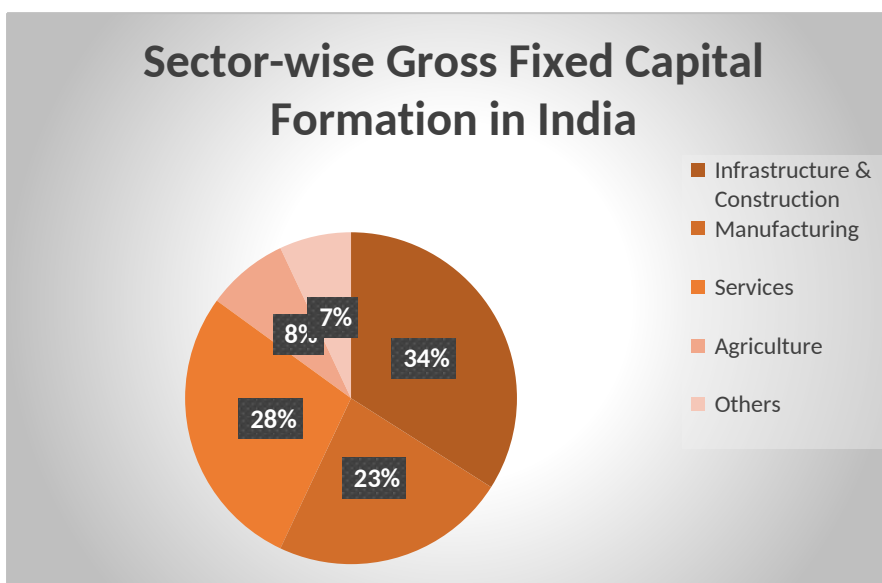


*Source: Economic Survey 2025-26 / World Bank India Development Update

The trend clearly shows infrastructure push increasing year by year. Public investment remained a major driver of economic growth during FY2024-25. Increased government capital expenditure on roads, railways, logistics, and urban infrastructure supported construction activity, employment generation, and private investment momentum.

Sector-wise Share in Gross Fixed Capital Formation

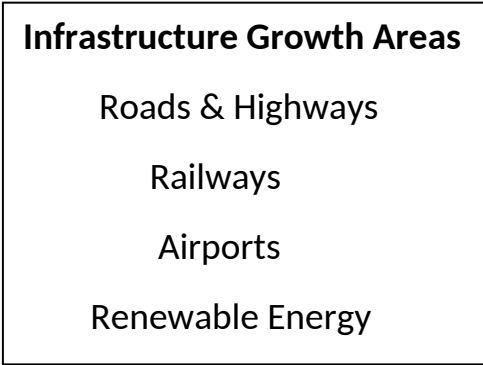
Sector	Share in Gross Fixed Capital Formation (%)
Infrastructure & Construction	34%
Manufacturing	23%
Services	28%
Agriculture	8%
Others	7%



*Source: Economic Survey 2025-2026 / World Bank India

Infrastructure and manufacturing sectors accounted for a significant share of investment activity in India. Higher capital formation reflects improving investment sentiment, expansion of productive capacity, and continued focus on long-term economic growth.

Sector	Share in Gross Fixed Capital Formation (%)
Infrastructure & Construction	34%
Manufacturing	23%
Services	28%
Agriculture	8%
Others	7%



4.0 STRONG DOMESTIC CONSUMPTION

According to RBI Annual Report 2024-25 and Economic Survey 2025-26, Strong domestic consumption continues to support India’s economic growth. Rising urban demand, retail spending, digital commerce, and expansion of the middle-income population have strengthened consumer activity across sectors such as automobiles, travel, housing, and financial services.

4.1 INFRASTRUCTURE & CAPITAL EXPENDITURE PUSH

Major Areas of Government Infrastructure Investment

Infrastructure Sector	Growth Contribution
Roads & Highways	Improves logistics and connectivity
Railways	Supports freight movement and industrial activity
Airports	Enhances regional connectivity and tourism

Infrastructure Sector	Growth Contribution
Renewable Energy	Encourages sustainable industrial growth
Digital Infrastructure	Expands digital economy and financial inclusion

Government-led infrastructure investment has become an important driver of India's economic growth. Increased capital expenditure on highways, railway freight corridors, airport connectivity, renewable energy projects, and digital infrastructure such as 5G and broadband expansion has improved connectivity and industrial activity across the country. These investments have also supported employment generation, logistics efficiency, private investment, and long-term productivity growth.

4.2 DIGITAL ECONOMY & FINANCIAL INCLUSION

India's digital transformation has significantly improved economic efficiency and financial inclusion. Rapid growth in UPI transactions, digital banking, fin -tech adoption, and internet connectivity has expanded access to financial services while supporting consumption and business activity.

*SOURCE: RBI Annual Report 2024-25

4.3 MANUFACTURING & PLI EXPANSION

Sector	Expected Impact
Electronics	Export growth
Pharmaceuticals	Domestic manufacturing
Automobiles	EV ecosystem
Solar Modules	Renewable investment

Manufacturing growth has received support through initiatives such as Make in India and Production Linked Incentive (PLI) schemes. These policies aim to improve domestic production capacity, attract investment, increase exports, and strengthen India's position in global supply chains.

4.4 SERVICES SECTOR GROWTH

The services sector continues to play a dominant role in India's economic growth. IT services exports, financial services expansion, tourism recovery, and growth in Global Capability Centres (GCCs) have strengthened income generation and employment opportunities.

4.5 DEMOGRAPHIC DIVIDEND & WORKFORCE EXPANSION

Indicator	Observation
Median Age	Young population
Workforce Size	Expanding
Urbanization	Increasing
Consumption Base	Large

India's young population and expanding workforce provide long-term growth opportunities through higher labour availability, rising consumption demand, and increasing productivity potential. Urbanization and rising workforce participation are expected to further support economic expansion.

4.6 FOREIGN INVESTMENT & GLOBAL SUPPLY CHAIN SHIFT

FDI Trend Table

Year	FDI Inflows (US\$ bn)
2021-22	84.8
2022-23	71.4
2023-24	75.1
2024-25	Improving trend

*Source: RBI Annual Report / DPIIT

India has increasingly benefited from global supply chain diversification and rising foreign investment interest. Policy reforms, market size, digital infrastructure, and manufacturing incentives have strengthened India's attractiveness as an investment destination.

5.0 — CONTRADICTIONARY FACTORS / POLICY FACTORS

5.1 INFLATIONARY PRESSURE

Component	Situation
Food Inflation	Volatile
Fuel Prices	Moderating
Core Inflation	Easing gradually

*Source: RBI Annual Report 2025-26

Although headline inflation moderated during FY2024-25, food price volatility continued to create pressure on household consumption and purchasing power. Inflation management remained an important policy priority for the RBI.

Interest Rate Environment

Elevated interest rates during FY2024-25 helped control inflation and maintain economic stability. However, higher borrowing and financing costs increased pressure on businesses and consumers. Interest-sensitive sectors such as housing, automobiles, and small businesses were moderately affected due to tighter credit conditions.

5.2 WEAK GLOBAL DEMAND & EXPORT PRESSURE

Export Trend Table

Sector	Export Trend
Merchandise Exports	Moderate
IT Services Exports	Resilient
Manufacturing Exports	Mixed
Global Trade Demand	Weak

*Source: IMF India Article IV Consultation Report (2025) and RBI Annual Report 2024-25.

Weak global demand and geopolitical uncertainty continued to affect India’s export performance. Merchandise exports remained under pressure due to slowing growth in advanced economies, although services exports remained relatively resilient.

5.3 UNEVEN RURAL RECOVERY

Economic recovery across regions remained uneven, with urban demand performing better than rural consumption. Agricultural dependence, weather-related uncertainty, and income disparities continued to affect rural economic activity.

5.4 FISCAL & POLICY TRADE-OFFS

Policymakers continued balancing growth support with fiscal consolidation and inflation control. While infrastructure investment remained a priority, maintaining fiscal discipline and macroeconomic stability also became important policy objectives.

6.0 — IMPACT ANALYSIS ON SECTORS

6.1 BANKING & FINANCIAL SERVICES

The banking and financial services sector benefited from strong credit demand, improved asset quality, and digital financial expansion. Lower non-performing assets and healthy profitability strengthened financial sector resilience during FY2024-25.

UPI Growth → Financial Inclusion → Consumption Growth

6.2 MANUFACTURING & INDUSTRIAL SECTOR IMPACT

Factor	Effect
PLI Schemes	Positive
Infrastructure Spending	Supportive
Export Demand	Mixed
Input Costs	Moderate pressure

6.3 INFRASTRUCTURE & CONSTRUCTION

Infrastructure Sector Drivers

Area	Growth Impact
Roads & Highways	Construction growth
Railways	Logistics efficiency
Real Estate	Urban demand support
Renewable Energy	Investment growth

Infrastructure and construction activities remained strong due to increased public capital expenditure and urban development projects. The sector contributed significantly to employment generation and investment activity.

6.4 INFORMATION TECHNOLOGY & SERVICES

India's IT and services sector remained a major contributor to exports and employment. Although global demand conditions moderated, digital transformation and Global Capability Centre (GCC) expansion continued supporting sector growth.

6.5 AGRICULTURE & RURAL ECONOMY

Agriculture Sector Challenges & Support

Factor	Situation
Monsoon Dependence	High
Rural Demand	Uneven
Food Inflation	Volatile
Govt. Support	Continued

The agriculture sector remained vulnerable to weather-related uncertainty and uneven rural demand conditions. However, government support measures and stable food production continued to support rural economic activity.

OVERALL IMPACT ON SECTORS

Sector	Overall Outlook
Banking	Positive
Manufacturing	Moderately Positive
Infrastructure	Strong Positive
IT & Services	Stable Positive

Sector	Overall Outlook
Agriculture	Moderate

7.0 POLICY MEASURES & GOVERNMENT RESPONSE

Measures and actions by Government of India and RBI to support growth and stability

7.1 FISCAL MEASURES & INFRASTRUCTURE PUSH

Capital Expenditure Government Priorities

As per Economic Survey 2025-26 and Union Budget 2025-26, Government of India, the government continued focusing on infrastructure-led growth through higher capital expenditure in transport, logistics, urban development, and renewable energy projects. Increased public investment supported employment generation and private sector activity.

7.2 MONETARY POLICY & INFLATION MANAGEMENT

RBI Monetary Policy Measures

Measure	Objective
Repo Rate Management	Inflation control
Liquidity Management	Financial stability
Banking Supervision	Risk reduction
Forex Management	External stability

*Source: RBI Annual Report 2024-25

RBI maintained a careful monetary policy during FY2024-25 to control inflation while supporting economic growth. Managing liquidity, maintaining banking stability, and controlling exchange rate fluctuations remained major priorities during the year.

7.3 MANUFACTURING & INVESTMENT PROMOTION

Initiative	Purpose
Make in India	Manufacturing growth
PLI Scheme	Production incentives
Startup India	Entrepreneurship support

FDI Reforms

Investment attraction

Government initiatives such as Make in India and Production Linked Incentive (PLI) schemes aimed to strengthen domestic manufacturing capacity, attract investment, improve exports, and support employment generation.

PLI → Investment → Manufacturing → Jobs → Exports

7.4 DIGITAL & FINANCIAL INCLUSION INITIATIVES

Digital Policy Initiatives

Initiative	Impact
UPI Expansion	Digital payments growth
Jan Dhan Yojana	Financial inclusion
Digital Public Infrastructure	Service efficiency
Aadhaar Integration	Direct benefit transfer

*Source: RBI Annual Report / Government initiatives

India's digital public infrastructure continued supporting financial inclusion, digital payments, and efficient delivery of government services. Rapid growth in digital transactions strengthened economic formalization and consumer participation.

7.5 STRUCTURAL REFORMS & LONG-TERM INITIATIVES

Long-Term Reform Areas

Reform Area	Objective
Logistics Improvement	Reduce business cost
Ease of Doing Business	Investment support
Renewable Energy Transition	Sustainable growth
Skill Development	Workforce productivity

Structural reforms aimed at improving productivity, investment climate, logistics efficiency, and workforce skills continued supporting India’s long-term growth potential and economic competitiveness.

8.0 RISKS & CHALLENGES

Slower global economic growth and weak external demand may affect India’s exports, investment flows, and manufacturing activity. Global financial market volatility and geopolitical uncertainty continue to remain important external risks.

8.1 INFLATION & COMMODITY PRICE VOLATILITY

Risk Factor	Concern
Food Inflation	Consumption pressure
Crude Oil Prices	Import burden
Supply Disruptions	Price volatility
Currency Fluctuation	Imported inflation

Inflationary pressures may re-emerge due to food price volatility, crude oil fluctuations, and external supply disruptions. Persistent inflation can reduce household purchasing power and affect economic stability.

8.2 FISCAL & DEBT PRESSURE

Maintaining fiscal discipline while supporting economic growth remains an important challenge for the Indian economy. Higher government debt levels, fiscal deficit pressures, welfare expenditure commitments, and rising interest payments may reduce policy flexibility during future economic or financial shocks.

8.3 EMPLOYMENT & SKILL GAP CHALLENGES

Challenge	Impact
Skill Gap	Lower productivity

Challenge	Impact
Informal Employment	Income instability
Youth Employment	Job pressure
Female Workforce Gap	Untapped labour potential

Although labour force participation has improved, employment quality and workforce skill development remain structural challenges. Bridging skill gaps and increasing productive employment opportunities will be important for sustaining long-term growth.

8.4 CLIMATE & GEOPOLITICAL RISKS

Climate change and geopolitical tensions may create long-term challenges for India's economy. Extreme weather conditions can affect agriculture and food supply, while global conflicts may increase energy prices and trade uncertainty. These factors can lead to supply disruptions, higher inflation, and pressure on overall economic growth and stability.

8.5 FISCAL RISK

Maintaining fiscal discipline while supporting growth remains an important challenge. Higher debt levels and expenditure commitments may limit policy flexibility during future economic shocks.

Emerging Long-Term Risks

Risk	Economic Impact
Climate Change	Agriculture disruption
Extreme Weather	Supply shocks
Geopolitical Conflict	Energy & trade pressure
Global Energy Transition	Adjustment costs

Risk Severity Matrix

Risk Area	Severity
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Global Slowdown	High
Inflation Volatility	High
Fiscal Pressure	Moderate
Employment Challenges	Moderate
Climate Risks	Rising

9.0 — RECOMMENDATIONS

Key Challenge	Recommendation	Expected Impact
Inflation Volatility	Maintain balanced monetary and fiscal coordination	Price stability
Employment & Skill Gap	Increase vocational training and skill development programs	Better job creation
Rural Demand Weakness	Expand rural infrastructure and agricultural support	Stronger rural consumption
Manufacturing Competitiveness	Strengthen PLI implementation and export support	Higher industrial growth
Infrastructure Gaps	Continue capital expenditure on logistics and transport	Productivity improvement
Global Export Pressure	Diversify export markets and trade partnerships	Reduced external dependence
Financial Inclusion Gaps	Expand digital and banking access in rural areas	Broader economic participation
Climate Risks	Increase renewable energy and climate-resilient infrastructure	Sustainable growth

India's long-term growth outlook remains favourable; however, sustaining high growth will require balanced macroeconomic management, employment generation,

infrastructure expansion, manufacturing competitiveness, and continued structural reforms. Policy focus on productivity enhancement and inclusive growth will remain important for economic resilience.

10.0 CONCLUSION & FUTURE SCENARIOS

India continues to remain one of the fastest-growing major economies supported by strong domestic demand, infrastructure investment, digital transformation, and policy reforms. Stable banking conditions, expanding manufacturing initiatives, and increasing public capital expenditure have strengthened medium-term growth prospects.

At the same time, challenges such as global uncertainty, changing inflation, government spending pressure, and job creation continue to remain important concerns. Continued reforms, stable economic policies, and better productivity will be important for maintaining long-term economic growth and stability.

10.1 FUTURE GROWTH SCENARIOS

India's future economic growth outlook can vary depending on domestic and global conditions. Under an optimistic scenario, strong reforms, stable inflation, higher investments, and better global demand can lead to faster GDP growth and more employment opportunities. Under the base scenario, stable domestic demand and continued policy support may help the economy maintain steady growth. However, in a pessimistic scenario, factors such as global slowdown, rising oil prices, weak exports, and financial market uncertainty may slow economic growth and increase economic pressure. Overall, India's medium-term growth outlook remains positive due to ongoing reforms, a large young population, and growing investment opportunities. Continued policy support and economic stability will remain important for sustaining long-term growth.

**** DISCLAIMER ****

This report is prepared solely for academic and internship purposes and should not be considered as investment advice, financial recommendation, or research report under SEBI regulations. The analysis is based on publicly available secondary data collected from RBI, IMF, World Bank, Economic Survey, and other government sources. The author does not guarantee the accuracy or completeness of the information and shall not be held responsible for any financial decisions taken based on this report.

REFERENCES

- 1. Reserve Bank of India (RBI) Annual Report 2024-25
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- 3. World Bank India Development Update & Overview
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Risk Area	Severity Level
Global Economic Slowdown	High
Inflation Volatility	High
Fiscal Pressure	Moderate
Employment & Skill Challenges	Moderate
Climate & Environmental Risks	Rising

***Source: IMF India Article IV Consultation 2025, RBI Annual Report 2024-25, and Economic Survey 2025-26.**